

5-6 Appendix 2 the Periodic Inventory System

Throughout this chapter, the perpetual inventory system was used to record purchases and sales of merchandise. Not all retail businesses, however, use the perpetual inventory system. For example, small retail businesses, such as a local hardware store, may use a manual accounting system. A manual perpetual inventory system is time consuming and costly to maintain. In this case, the periodic inventory system may be used.

Objective 7 - Describe and illustrate the periodic system of accounting for merchandise transactions.

Under the periodic inventory system, purchases are normally recorded at their invoice amount as a debit to Purchases. If the invoice is paid within the discount period, the discount is recorded as a credit in a separate account called Purchases Discounts. Likewise, purchases returns are recorded as a credit in a separate account called Purchases Returns and Allowances.